

Image 4.10 – Engulfing Pattern

There are two types of Engulfing Patterns – 1) Bullish Engulfing and 2) Bearish Engulfing.

Image 4.10 shows both bullish and bearish engulfing patterns. In bullish engulfing, the first candle will be a small bearish candle and the second candle is a big bullish candle that engulfs the first bearish candle. When bullish engulfing patterns occur near a significant support zone, it indicates the rejection of lower prices (doesn't break support), hence the high probability of price going in the north direction.

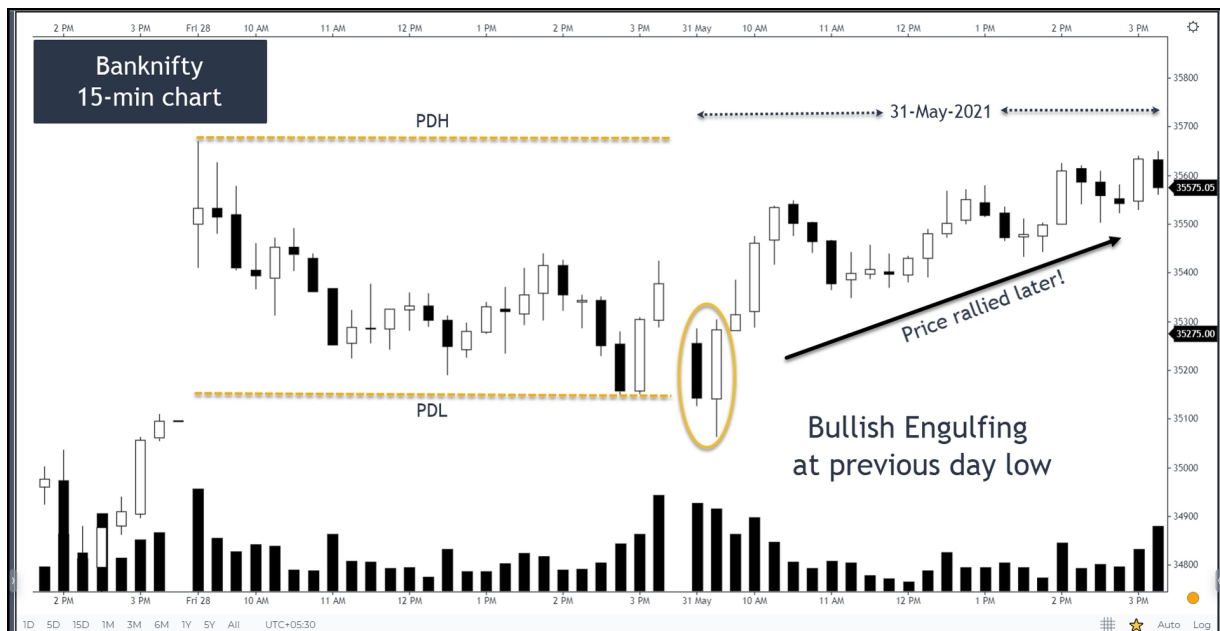


Image 4.11 – Bullish Engulfing Pattern in Banknifty

The above image shows a 15-min Banknifty chart. On 31st May, the price opened near PDL and displayed a bullish engulfing pattern at PDL. This is a clear sign that price is taking the support and buyers are strong. Later, the price rallied to the upside for the rest of the day.